

Extract B (lines 13–14) states: ‘Most water (and sewerage) services are not provided by competitive markets... Only businesses can choose their water supplier’.

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2.

Evaluate the view that the supermarket sector is serving customers' interests well.

3.

Explain the factors a profit-maximising firm will take into account when deciding whether to shut down or to carry on operating, both in the short run and in the long run.

4.

Use the extracts and your knowledge of economics to evaluate the case for renationalising railways in the UK.

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5.

Extract C (lines 14–15) states that ‘Rising prices will eventually also force builders in developing countries to explore alternatives to sand.’

Use the extracts and your knowledge of economics to assess the view that the increasing scarcity of sand is a problem best solved by market forces, rather than through government intervention.

[25 marks]

6.

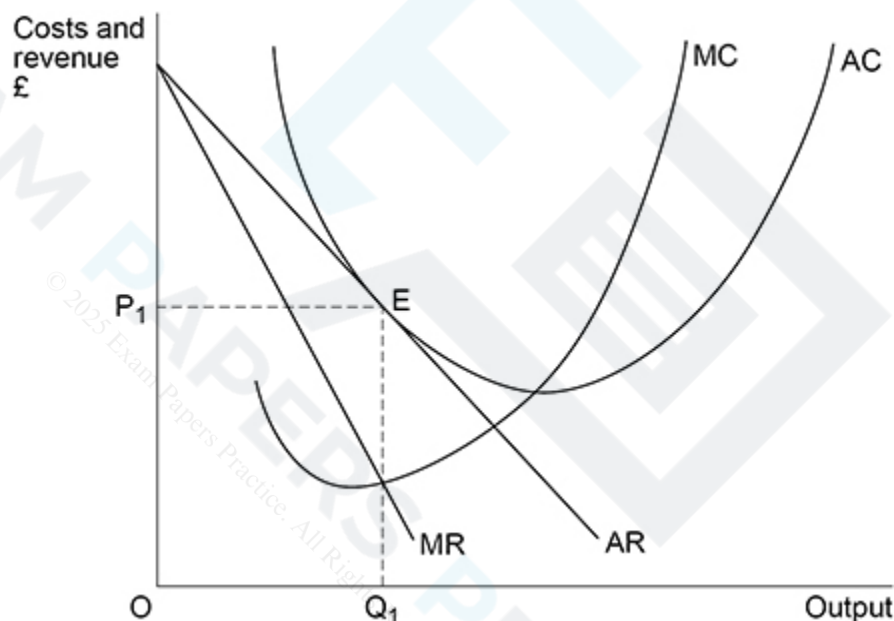
Extract E (lines 10–11) describes the British railway sector as a ‘natural monopoly’, which was split up into ‘no less than 100 pieces’ when it was privatised.

With the help of a diagram, explain why breaking up a natural monopoly in rail may affect long-run average costs.

[9 marks]

7.

The graph shows the equilibrium position, point E, of a profit-maximising firm in a monopolistically competitive industry.



All other things being equal, which one of the following applies to the firm’s equilibrium at point E? The firm is

A in short-run equilibrium, but not in long-run equilibrium.

☐

B making normal profit because $AC = AR$.

☐

C making supernormal profit because $MC = MR$.

☐

D productively efficient but not allocatively efficient.

☐

[1 mark]

8.

The economist Greg Mankiw has written that 'society faces a trade-off between efficiency and equity. Efficiency means that society is getting the maximum benefits from its scarce resources. Equity means that those benefits are distributed fairly among society's members. Often, when government policies are designed, these two goals conflict.'

Explain how a production possibility diagram can be used to illustrate some features of the fundamental economic problem.

[15 marks]

9.

In December 2018, the Competition and Markets Authority (CMA) announced a range of policies to prevent firms charging existing customers more than new customers. Firms supplying financial services, mobile phones and broadband are no longer allowed to discriminate against loyal customers renewing their contracts.

Assess the view that price discrimination is always damaging.

[25 marks]

10.

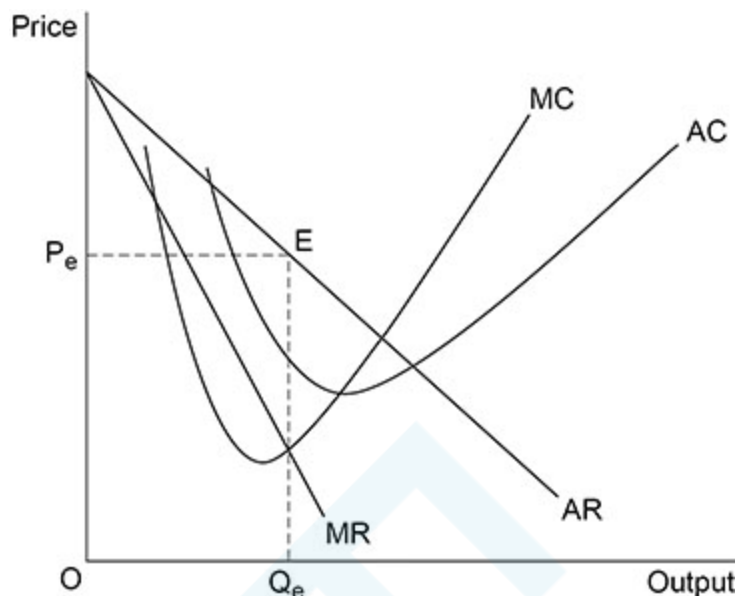
Critics of the world's five most valuable multinational technology firms (Google, Amazon, Apple, Facebook and Microsoft) argue that there ought to be greater government intervention to protect consumers' interests. Several European governments are considering imposing new taxes on the revenues of such firms, rather than their profits.

Discuss whether governments should consider increasing the regulation and taxation of technology firms which have acquired significant global monopoly power.

[25 marks]

11.

The diagram below shows the average and marginal revenue (AR and MR) curves and the average and marginal cost (AC and MC) curves for a firm. The firm is in equilibrium producing an output of Q_e .



From the diagram it can be inferred that the

- A firm is a price taker and will reduce its supply if the market price falls below P_e . ☐
- B firm is making abnormal profits but this will not attract new firms into the market because the firm has a monopoly. ☐
- C firm is maximising its abnormal profit and has no incentive to expand its production. ☐
- D firm's abnormal profit will lead it to expand its production and shift its market supply curve to the right. ☐

[1 mark]

12.

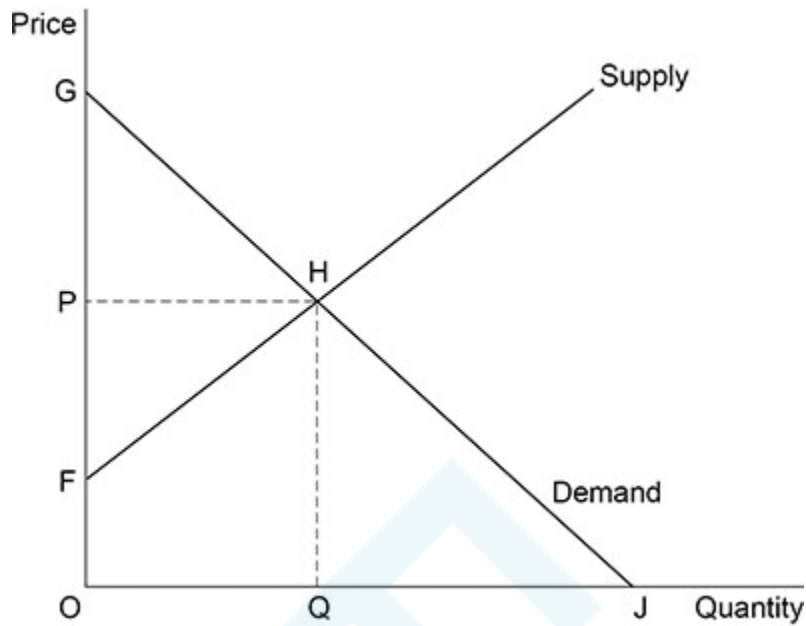
A monopolistically competitive firm's demand curve for good X has a price elasticity of demand of minus 1.0 throughout its entire range. All other things being equal, which one of the following is most likely to result in an increase in the firm's profits?

- A A decrease in the cost of producing the good ☐
- B A decrease in the price of the good ☐
- C An increase in the price of the good ☐
- D An increase in the scale of its operation ☐

[1 mark]

13.

The diagram below shows the demand curve (Demand) and the supply curve (Supply) for bus travel within a city. The initial market equilibrium price is P.



To reduce pollution, the city council pays bus companies to provide bus travel free of charge. As a result of this policy, consumer surplus will increase by the area

A OFHJ

☐

B FGH

☐

C OPHJ

☐

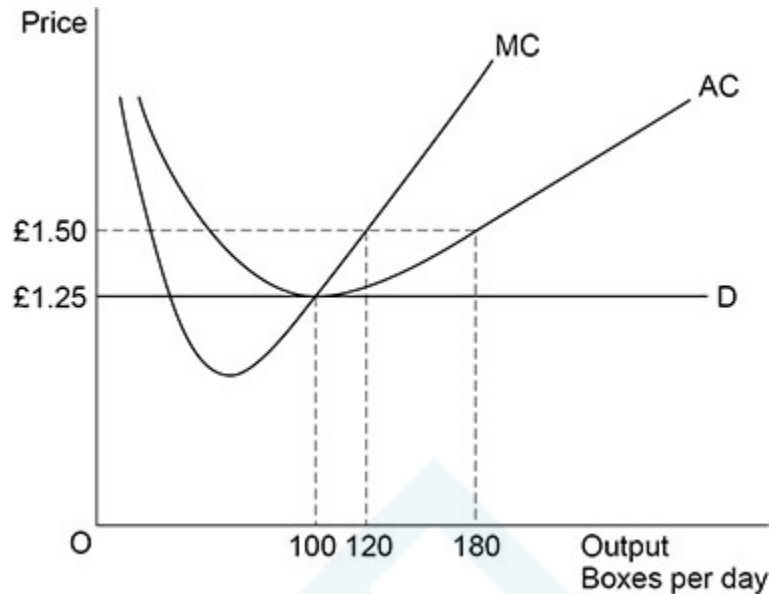
D QHJ

☒

[1 mark]

14.

The diagram below shows the demand (D) curve and the average and marginal cost (AC and MC) curves for a firm operating in a perfectly competitive market for eggs.



The firm is in equilibrium at the initial market price of £1.25 for a box of 6 eggs. If the market price increases to £1.50 for a box of eggs the firm will

- A have a marginal revenue of £0.25.
- B increase its average revenue by 20%.
- C make supernormal profits in the long run.
- D sell 180 boxes per day in the short run.

☐
☐
☐
☐

[1 mark]

15.

Price comparison websites were used to purchase 53% of car insurance policies in 2017, improving competition and reducing prices for consumers. In other sectors, dominant firms such as Amazon have used innovation to capture market share. In the UK, 70% of online consumers say that Amazon is the first online retailer they visit when buying goods.

Evaluate the view that technological change tends to bring industries closer to the market structure of perfect competition.

[25 marks]

16.

Extract C (lines 1–3) states: 'The market for most generic drugs is oligopolistic, with just two or three manufacturers making each product. This enables significant economies of scale within firms, but also presents the risk of consumer interests being harmed.'

Using the extracts and your knowledge of economics, assess the view that the market structure of the pharmaceutical industry is damaging for consumers.

[25 marks]

17.

Price comparison websites were used to purchase 53% of car insurance policies in 2017, improving competition and reducing prices for consumers. In other sectors, dominant firms such as Amazon have used innovation to capture market share. In the UK, 70% of online consumers say that Amazon is the first online retailer they visit when buying goods.

Explain how perfect competition should lead to outcomes which are **both** productively and allocatively efficient.

[15 marks]

18.

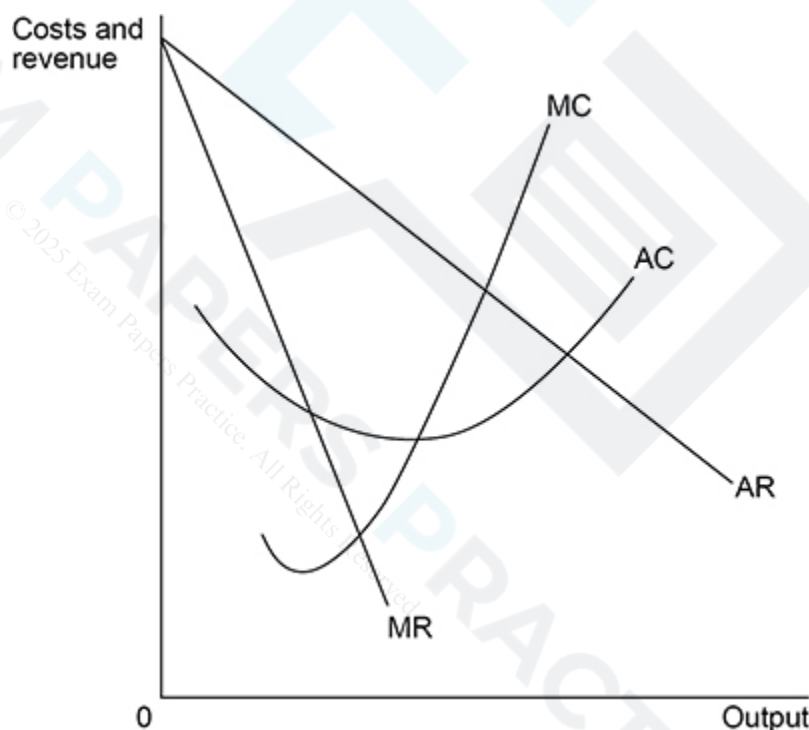
Extract B (lines 9–10) states: 'After the monopoly's patent expires, other companies can manufacture and market the same drug under its generic name, usually at a lower price.'

With the help of a diagram, explain why prices of pharmaceutical drugs supplied by a monopoly are likely to be higher than in markets which are more competitive.

[9 marks]

19.

The diagram below shows the average revenue and marginal revenue (**AR** and **MR**) curves and the average cost and marginal cost (**AC** and **MC**) curves for a firm in monopolistic competition in the short run.



At the profit maximising price and output the firm will

- A make supernormal profits.
- B produce the allocatively efficient output.
- C produce where average revenue = average cost.
- D set price equal to minimum average costs.

☐
☐
☐
☐

[1 mark]

20.

After considering **Extract D**, and the original evidence in **Extracts A, B and C**, would you recommend that the UK government provides financial and other support to companies involved in the production of commercial aircraft? Justify your recommendation.

[25 marks]

21.

There is a reduction in the market demand for the product supplied by firms operating in a perfectly competitive industry.

All other things being equal, which one of the following will happen to firms' average and marginal revenue as a result of this change?

A Average revenue and marginal revenue will both fall.

☐

B Average revenue and marginal revenue will not change.

☐

C Average revenue will fall and marginal revenue will increase.

☐

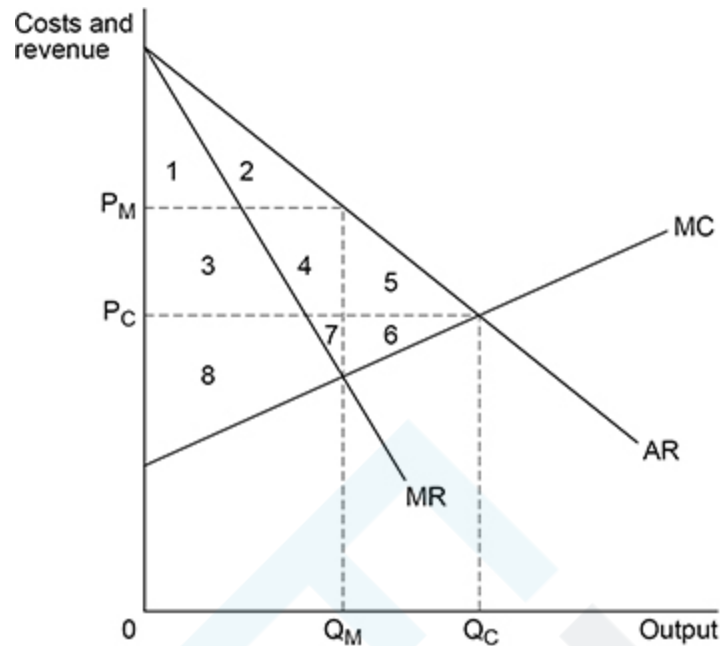
D Average revenue will increase and marginal revenue will fall.

☐

[1 mark]

22.

The diagram below shows the average revenue (AR), marginal revenue (MR) and marginal cost (MC) curves for an industry which was perfectly competitive but is now a monopoly. The cost and revenue curves remain unchanged.



Which of the following areas shows the total deadweight loss of consumer and producer surplus resulting from the structure of the industry changing from perfect competition to monopoly?

A 1 + 2

☐

B 3 + 4

☐

C 5 + 6

☐

D 7 + 8

☐

[1 mark]

23.

Essay 1

The government has promised that everyone will be able to access superfast broadband by 2025. As more people have switched to studying and working remotely, good Internet connections have become more important. Low-income households have difficult choices to make between high-speed Internet and essential items such as food, heating and clothing.

Explain how the price mechanism allocates resources in a market economy.

[15 marks]

24.

A firm charging different customers different prices for the same product is practising

A limit pricing.

☐

B marginal cost pricing.

☐

C price discrimination.

☐

D price leadership.

☐

[1 mark]

25.

Extract E (lines 16–17) states that, 'Supermarkets set prices interdependently, and price wars look very likely.'

With the help of a diagram, analyse the impact on grocery consumers of interdependence between supermarkets.

[9 marks]